BREXIT FACTBOOK

A STATISTA DOSSIERPLUS ON BREXIT

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Table of contents

01 The Brexit campaign
- Origins of the Brexit referendum
- Main issues for voters
- Immigration and UK membership fees

02 Brexit referendum
- Overall results
- Results breakdown by demographic
- Voter turnout

03 Political fallout
- Election results
- Votes in parliament
- Opinion polls

04 The Brexit deal
- Citizens rights
- Trade issues
- Irish border

05 Post-Brexit Britain
- Fall in trade
- Labor shortages
- Global supply chain issues

Brexit Factbook

Executive summary

On January 31, 2020, Britain left the European Union over 1,300 days after it first voted to leave, back in June 2016. Although Britain leaving the EU was the dominant story at the time, this was also the same day that the UK had its first confirmed cases of COVID-19. Throughout 2020, the coronavirus pandemic and the UK's response to it would dominate domestic headlines, with the issue of Brexit taking a backseat. Until 2021, the UK was also in a transition phase, where little changed regarding travel and trade.

Since the start of 2021, however, the UK and EU now have a relationship defined by the EU-UK trade and cooperation agreement (TCA). Although enabling a degree of free trade between the EU and the UK, this agreement is far less substantial than before. It is also unlikely that the TCA has provided a permanent solution to the most challenging issues of Brexit, such as that of the Irish border. As the UK attempts to rebuild its economy, conditions have been far from ideal. Throughout 2021, the UK economy suffered from fuel scarcity and labor shortages; issues made worse by the global supply chain crisis (see page 38) and the adjustment to a new trading relationship with the EU - its leading trade partner.

The long road from the Brexit campaign to this current situation was defined by a disruptive and revealing period for the UK.

- The Brexit vote divided the UK along several fault lines, including age, education, and region. Leave and Remain became political identities in their own right.
- Britain's political system was pushed to a breaking point between 2016 and 2019, as its political leaders struggled to agree on any kind of united vision.
- Although a trade deal was eventually agreed upon, the negotiations were complicated by a multitude of issues. The current agreement is a shallow compromise that has not definitively settled trade relations.
- The UK economy is struggling to adjust to its post-Brexit reality. Global economic headwinds are causing an economic storm at a bad time for the UK.

The Brexit Factbook provides a comprehensive overview of the most critical issues of Brexit, including: key events, the Brexit campaign, and the post-Brexit outlook for the UK.

Source(s): BBC News

01 Brexit campaign

- Origins of the Brexit referendum
- Main issues for voters
- Immigration and UK membership fees

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Brexit campaign

The lead-up to Britain's biggest decision in a generation

Defining Britain's relationship with the European Union and its forerunner organizations has been a constant problem for the United Kingdom's post-World War Two leaders. Even after Britain eventually joined the European Economic Community (EEC) in 1973, the issue caused enough division to warrant a referendum on membership in 1975. Although Britain voted to remain in the EEC, the matter was far from settled. The opposition to Britain's membership reformed and reorganized, eventually expressing itself most obviously in the United Kingdom Independence Party (UKIP).

A surge in support for UKIP in the early 2010s certainly contributed to David Cameron's decision to guarantee a referendum on the UK's EU membership in January 2013, provided the Conservatives won a majority in the 2015 general election. Many of UKIP's supporters were people who had previously voted for the Conservative party, and their strong showing in the European elections of 2014 implied Cameron was right to confront the issue. When the Conservatives did win the general election of 2015, Cameron set out to negotiate an improved deal with the EU and then announce a referendum on membership.

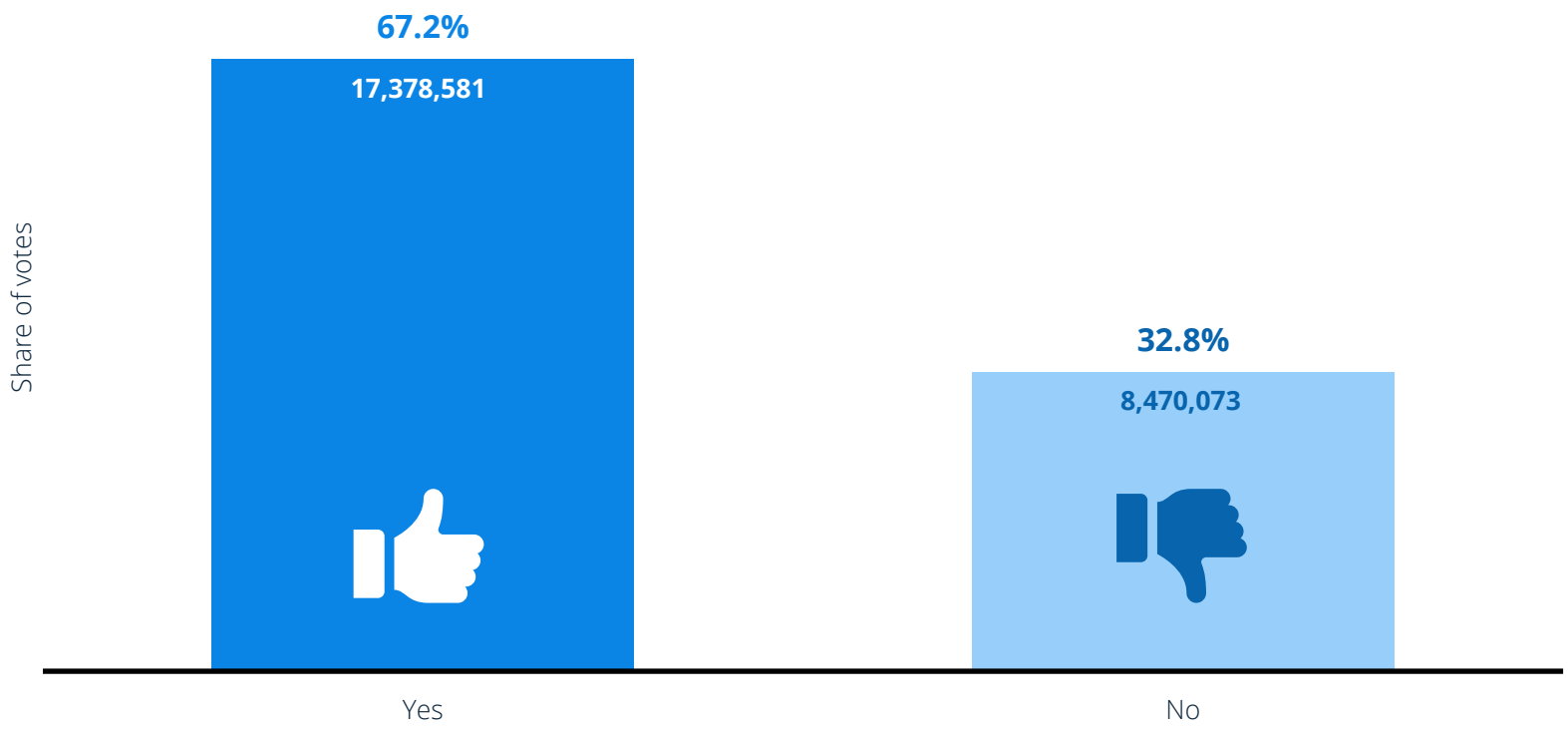
In February 2016, after securing some concessions from the EU on Britain's membership, Cameron announced that he would campaign for Britain to remain in the EU in a referendum held on June 23, 2016. During the campaign, Cameron and the Remain camp focused on the potential economic impact of Brexit. At the same time, Leave campaigners highlighted the cost of Britain's EU membership, claiming that 350 million pounds a week in recuperated costs could be spent on the NHS. This last claim was famously written on the side of the Leave campaign's red 'battle' bus, which was driven around the country throughout the campaign.

This chapter provides an overview of the essential facts and issues that characterized this period. The results of the 1975 EEC referendum are followed by an explanation of how pressure for another referendum grew in the 2010s. The latter part of this chapter analyzes some of the main issues both sides campaigned on, such as immigration and how much money the UK was sending the EU.

Source(s): BBC News; The Guardian

Results of the 1975 EEC referendum

Do you think the UK should stay in the EEC?

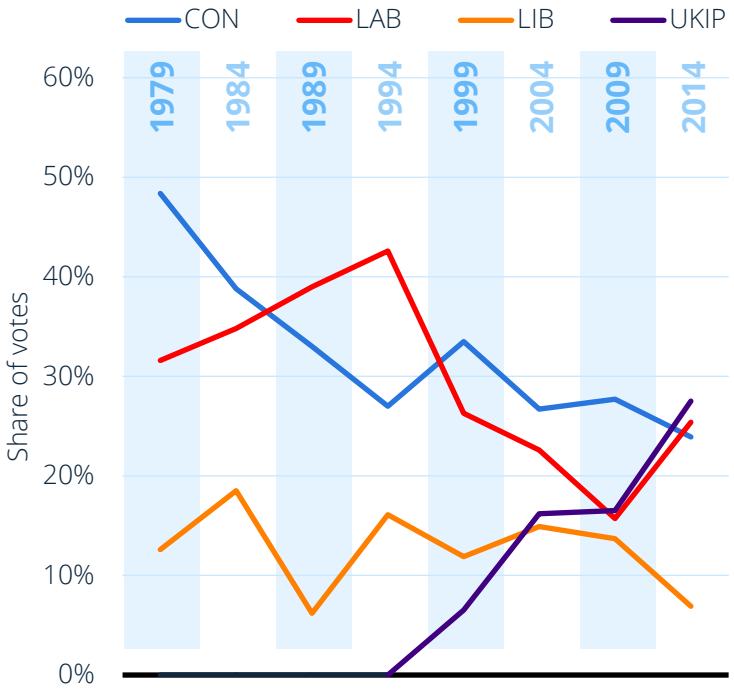


Just two years after joining the EEC – otherwise known as the 'common market' - internal divisions within Harold Wilson's Labour government led to a referendum on membership. On June 5, 1975, the UK voted to stay in the EEC by 67.2 percent to 32.8 percent. After the 1975 referendum, opposition to the European project generally came from the right, and throughout the 1980s, the then Prime Minister, Margaret Thatcher, frequently quarreled with Brussels. The founding of the United Kingdom Independence Party (UKIP) in 1993 gave those wishing to leave the organization a permanent home, and eventually, a leader in Nigel Farage.

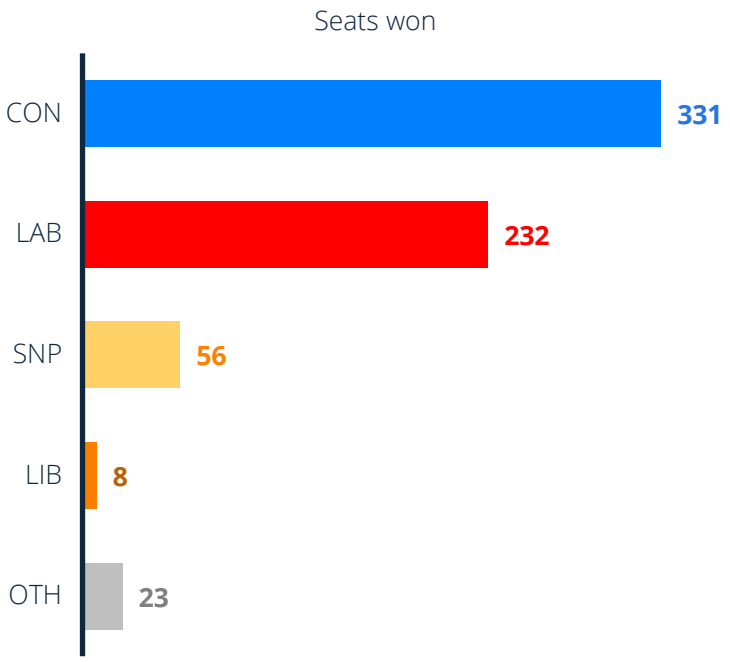
Note(s): United Kingdom; June 5, 1975; 25,903,194 voters; 18 years and older; UK electorate
Source(s): House of Commons; ID 1043098

Pressure grows for another referendum in the 2010s

Share of votes in European elections from 1979 to 2014



General election 2015 results



After the emergence of UKIP, they quickly rose to become the dominant party in the European elections, winning the highest share of the vote in 2014. UKIP's growing support, especially among former Conservative voters, gave David Cameron a similar dilemma faced by Harold Wilson forty years earlier.

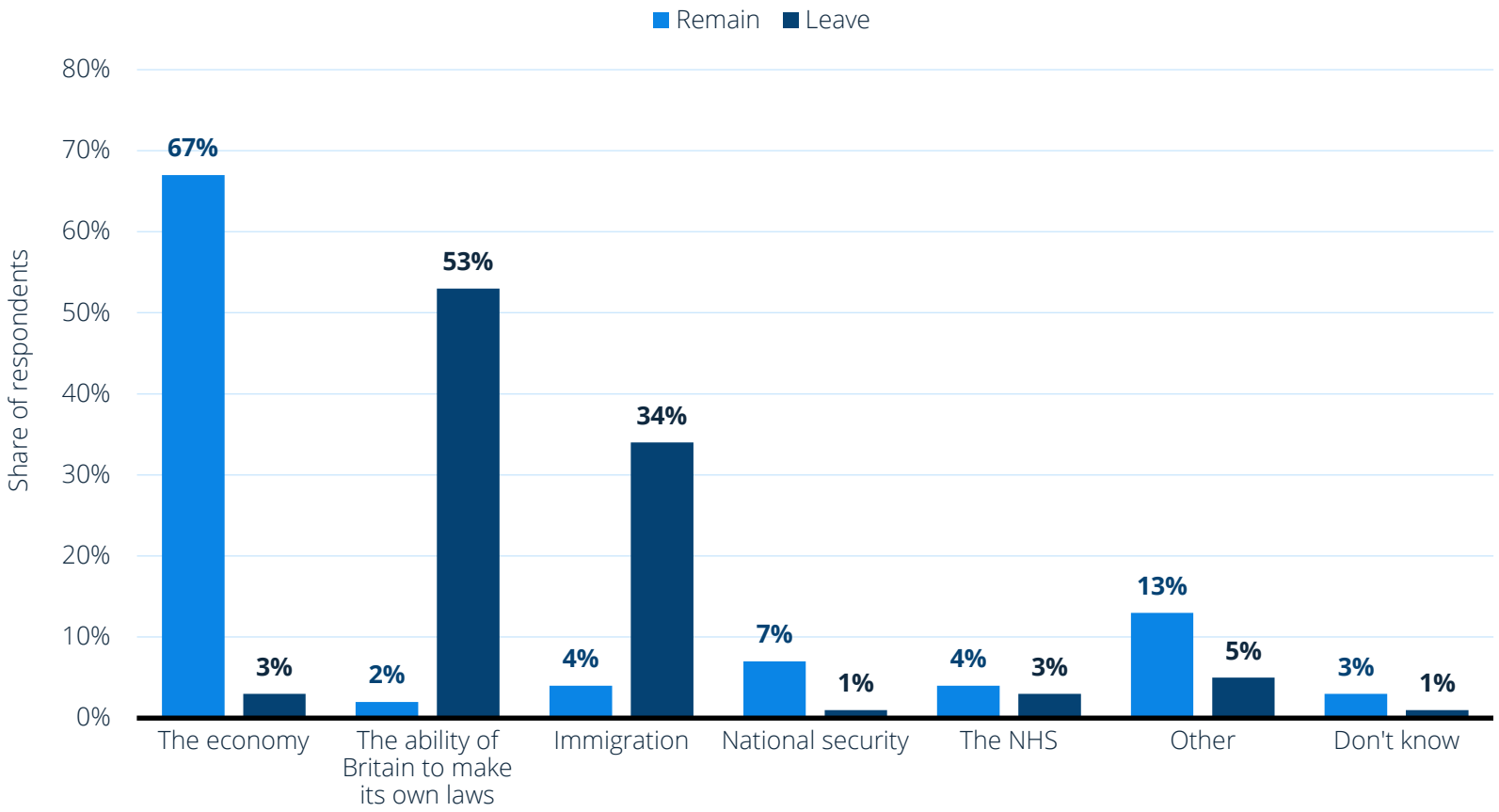
As Cameron had committed himself to a referendum on the UK's EU membership in 2013, he was obliged to call it after winning the 2015 general election. Shortly after the election, the new government passed legislation to hold a referendum on EU membership.

(1) Note(s): United Kingdom; 1979 to 2014; (see glossary for full terms)
Source(s): ParlGov; ID 1057984

(2) Note(s): United Kingdom; May 7, 2015; (see glossary for full terms)
Source(s): BBC; ID 283622

Remain and Leave split on the most important issues

Most important issue for voters in the Brexit referendum



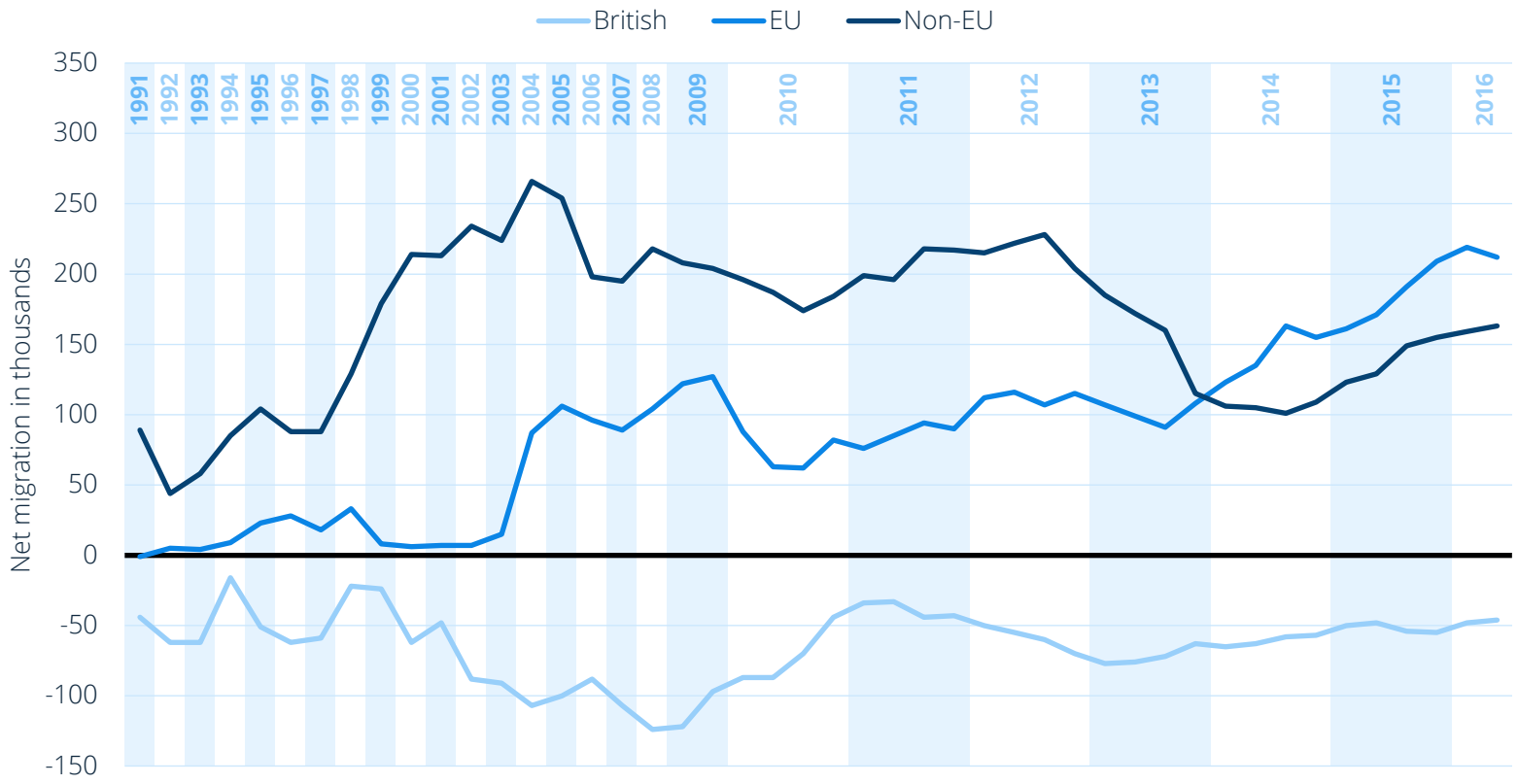
Cameron announced that the date for the referendum would be June 23, 2016 and that he would campaign to remain in the EU. Cameron and the Remain team focused heavily on the economic cost of leaving the EU, something which 67 percent of Remain voters decided was the most critical issue when casting their vote.

By comparison, Leave voters were less concerned about the economy than they were about immigration and sovereignty. Even after Cameron's renegotiated draft deal with the EU, the Remain side could not convince enough people that they had done enough to address these two issues.

Note(s): United Kingdom; June 24, 2016; 1,069 respondents
Source(s): ComRes; ID 568171

UK migration figures

Net migration (immigration minus emigration) in the UK from 1991 to 2016, by citizenship



The issue of migration was a frequent topic in the Brexit campaign. Net migration from the EU had increased significantly from 2004 onwards and had reached a peak just before the Brexit campaign.

Despite attempts of the Remain side to highlight the benefits of freedom of movement, Leave campaigners claimed that the EU was not in control of its borders at the height of the European migrant crisis in 2015. Nigel Farage directly referenced the situation when he unveiled a much-criticized anti-immigration poster featuring the words “breaking point” on it.

Note(s): United Kingdom; Q4 1991 to Q1 2020
Source(s): BBC News; House of Commons; Office for National Statistics (UK); ID 946736

Was the UK sending the EU 350 million GBP a week?

UK transactions with the EU in 2014

	Annual contribution	Weekly contribution	Daily contribution
Gross contribution	**£18.8bn**	**£361m**	**£51m**
After rebate	**£14.4bn**	**£276m**	**£39m**
After public sector receipts	**£9.8bn**	**£188m**	**£27m**
After private sector receipts	**£8.4bn**	**£161m**	**£23m**

One of the most infamous incidents of the Brexit campaign was when the Leave campaign claimed that the UK was sending the EU 350 million pounds a week and that this money could be better spent on funding the NHS. The Vote Leave organization subsequently exhibited this figure on a large red campaign bus that toured around the country. The figure was loosely based on the UK's gross contributions to the EU budget in 2014, but it did not account for the four-billion-pound rebate applied before the UK sent the EU any funds. In this year, the UK also received around 5.9 billion pounds in public sector receipts resulting in a net contribution of 8.38 billion pounds to the EU budget.

Note(s): Europe; United Kingdom; 1973 to 2019
Source(s): BBC News; House of Commons; ID 316888

02 Brexit referendum

- Overall results
- Results breakdown by demographic
- Voter turnout

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Brexit referendum

Britain votes to leave the European Union

On June 23, 2016, the Brexit referendum went ahead as planned and attracted an enormous voter turnout (see page 17). Despite early predictions suggesting that the UK had voted to remain, it gradually became clear overnight that this was not the case. The first indication that Leave had won a shock victory came at midnight of June 23, 2016, when the city of Newcastle voted to remain by a much narrower margin than was expected. This was followed twenty minutes later by a Leave victory in the nearby city of Sunderland that was 19 percent higher than experts had predicted. Currency markets reacted instantly, with the pound dropping by almost 10 percent against the U.S. dollar to levels not seen since the financial crisis of 2008.

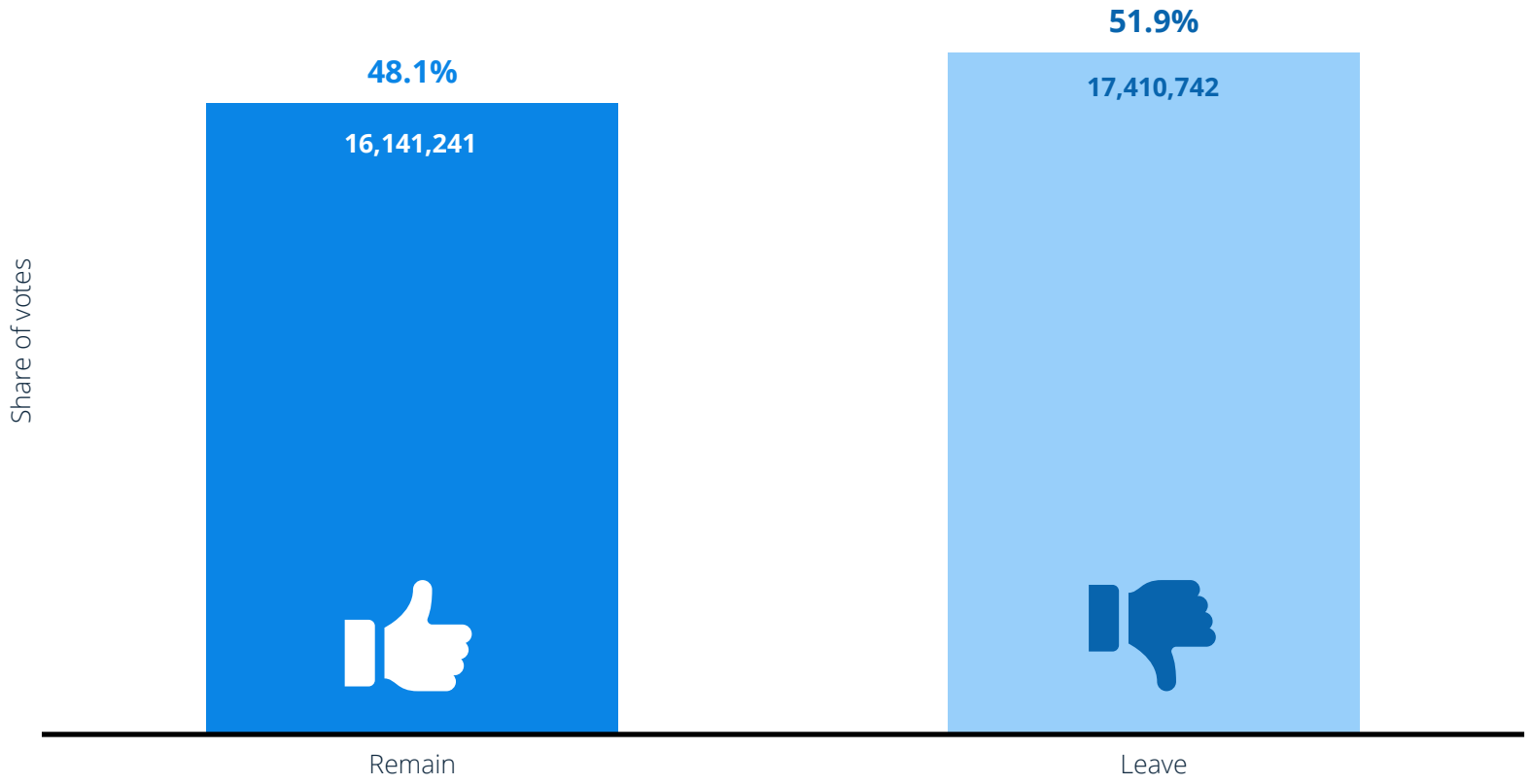
As more results were announced, it became clear that Leave was doing far better than expected across the country. By 4 am, Leave's victory was all but confirmed, and by 6 am, the BBC announced that it was now mathematically impossible for the Remain camp to win enough votes. Contrary to all expectations, the United Kingdom had voted for Brexit by 51.9 percent of the votes to 48.1 percent. The Brexit campaign revealed some stark divisions at the heart of the United Kingdom. In the aftermath of the referendum, the first and most obvious division was that between the regions. Except for London, Leave had won all regions of England, as well as Wales (see page 15). By contrast, most people in Scotland and Northern Ireland voted to remain in the European Union. The divide between England's urban and rural populations was also apparent, as almost all of England's largest cities voted to Remain (see page 16). Divisions across different demographics were also evident, with younger voters much more likely to vote Remain than older voters, female voters slightly more inclined to choose to Remain than males, and working-class voters more likely to support Brexit.

The main facts regarding the Brexit vote are examined in the following chapter, with the overall results followed by a breakdown across different demographics, regions, and cities. An exploration of the high voter turnout is provided towards the end of this chapter.

Source(s): BBC News; The Guardian

The Brexit vote

Results of the Brexit referendum on June 23, 2016



As the results came in overnight, it became clear that Leave had won a shock victory gaining 51.9 percent of the votes. Throughout England and Wales, the Leave vote was victorious, with London being the only region with more Remain voters. In Scotland and Northern Ireland, the reverse was true, giving fresh impetus to the question of Scottish Independence (see page 15). Several major UK cities also had a majority of Remain voters, including the English cities of London, Manchester, Liverpool, Newcastle, and Leeds (see page 16). A majority of young voters also voted to remain in the European Union, with older voters more likely to have voted to leave (see page 14).

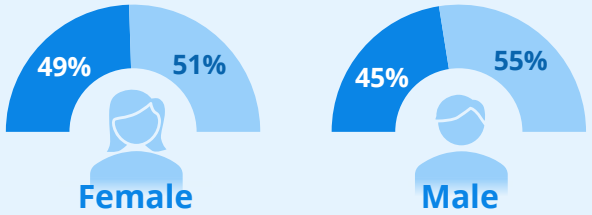
Note(s): United Kingdom; June 23, 2016
Source(s): The Electoral Commission; ID 570118

Brexit vote, by demographic

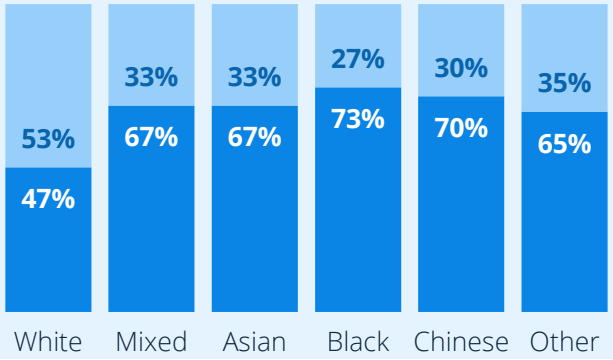
Brexit votes by demographic

Remain voters | Leave voters

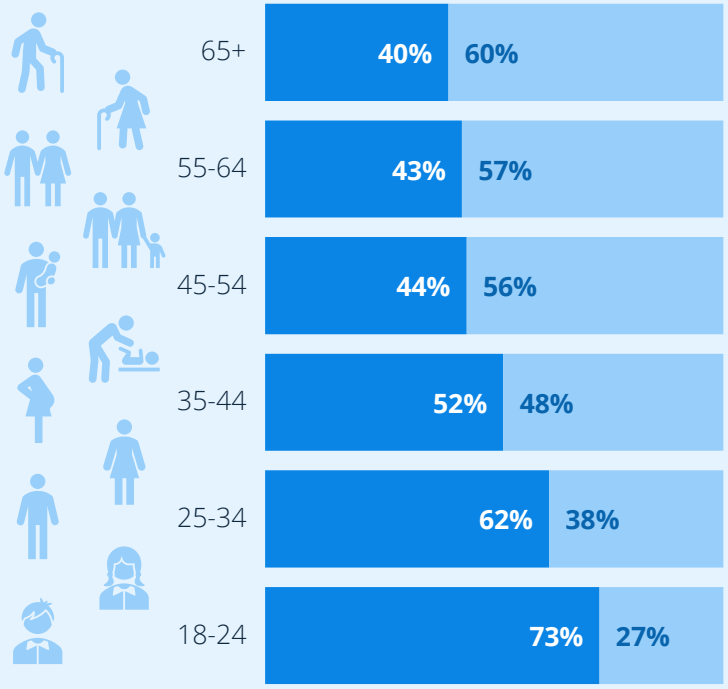
By gender



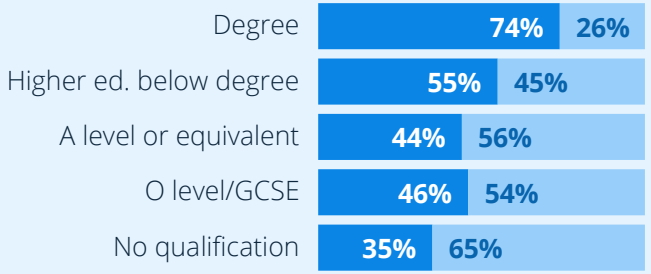
By ethnicity



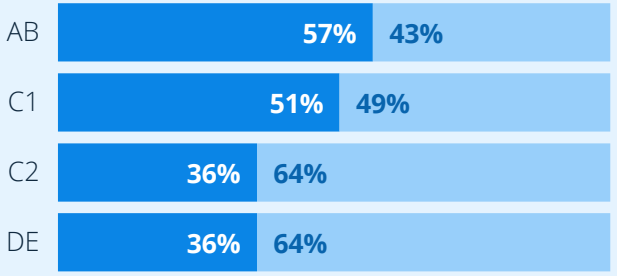
By age



By education



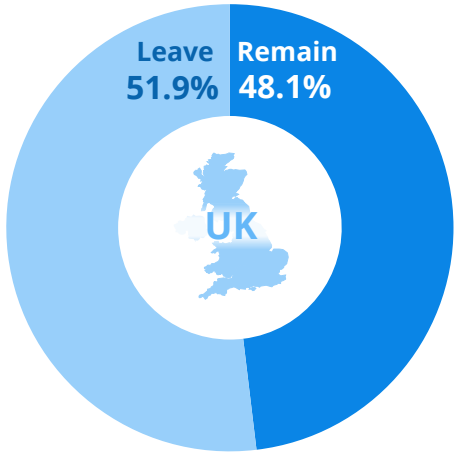
By social grade

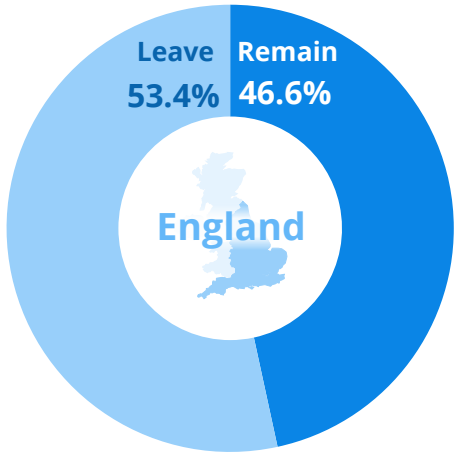


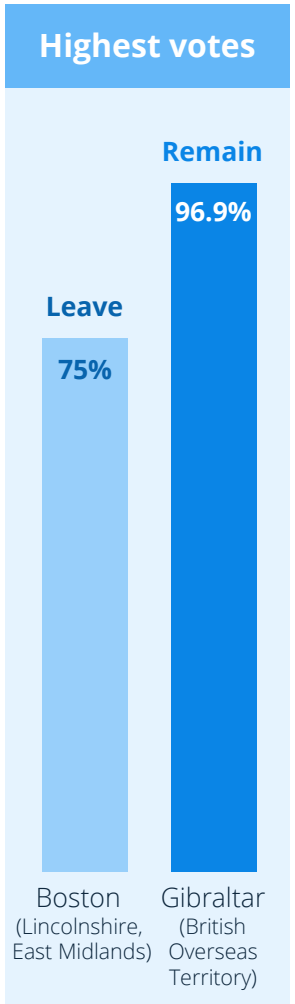
Note(s): United Kingdom; June 24, 2016
Source(s): Ipsos Mori; Lord Ashcroft Polls; NatCen; ID 567922 ID 520954 ID 519308 ID 572613 ID 518395

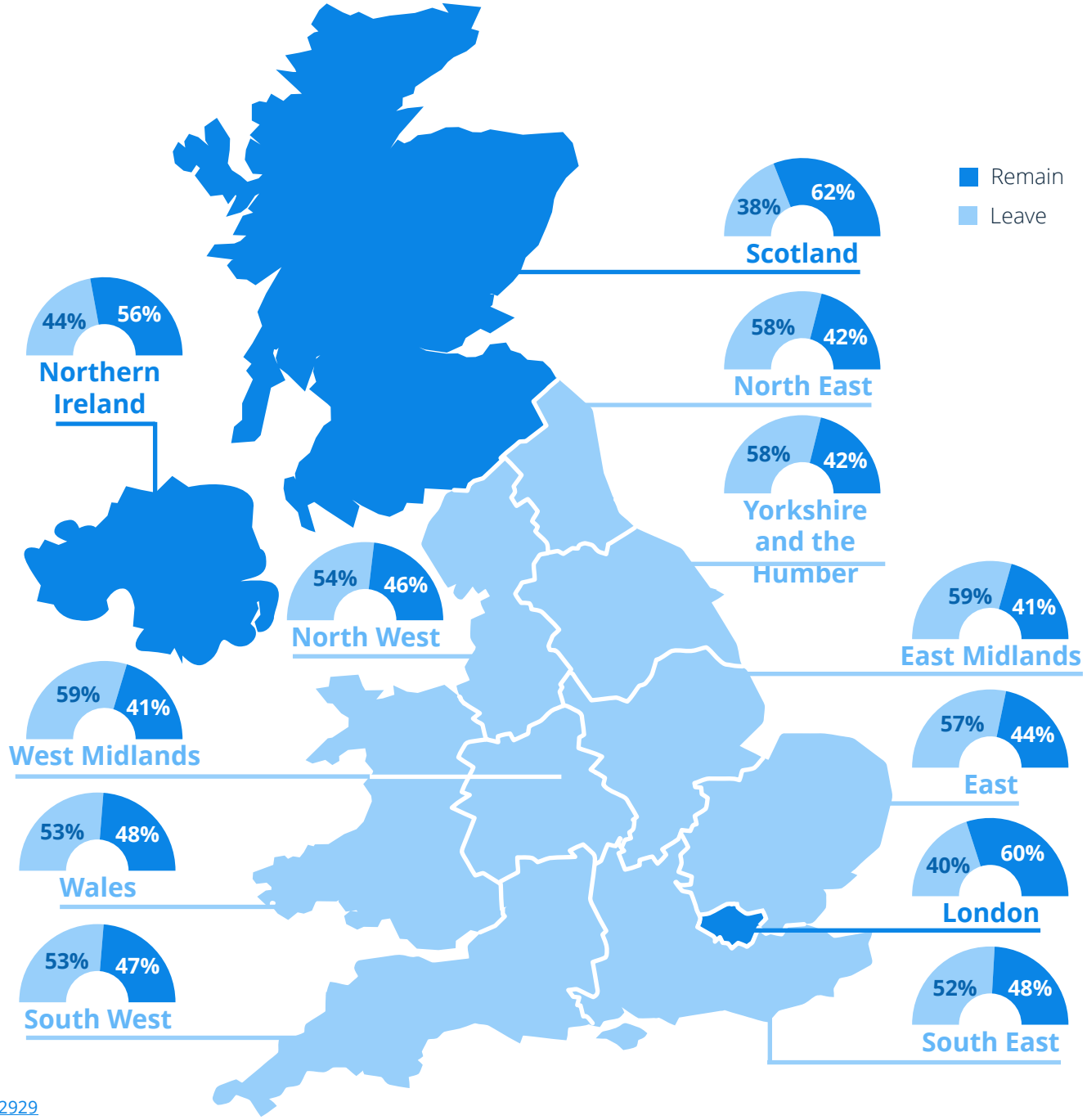
Brexit votes by region

Brexit votes by regions in the UK, June 23, 2016





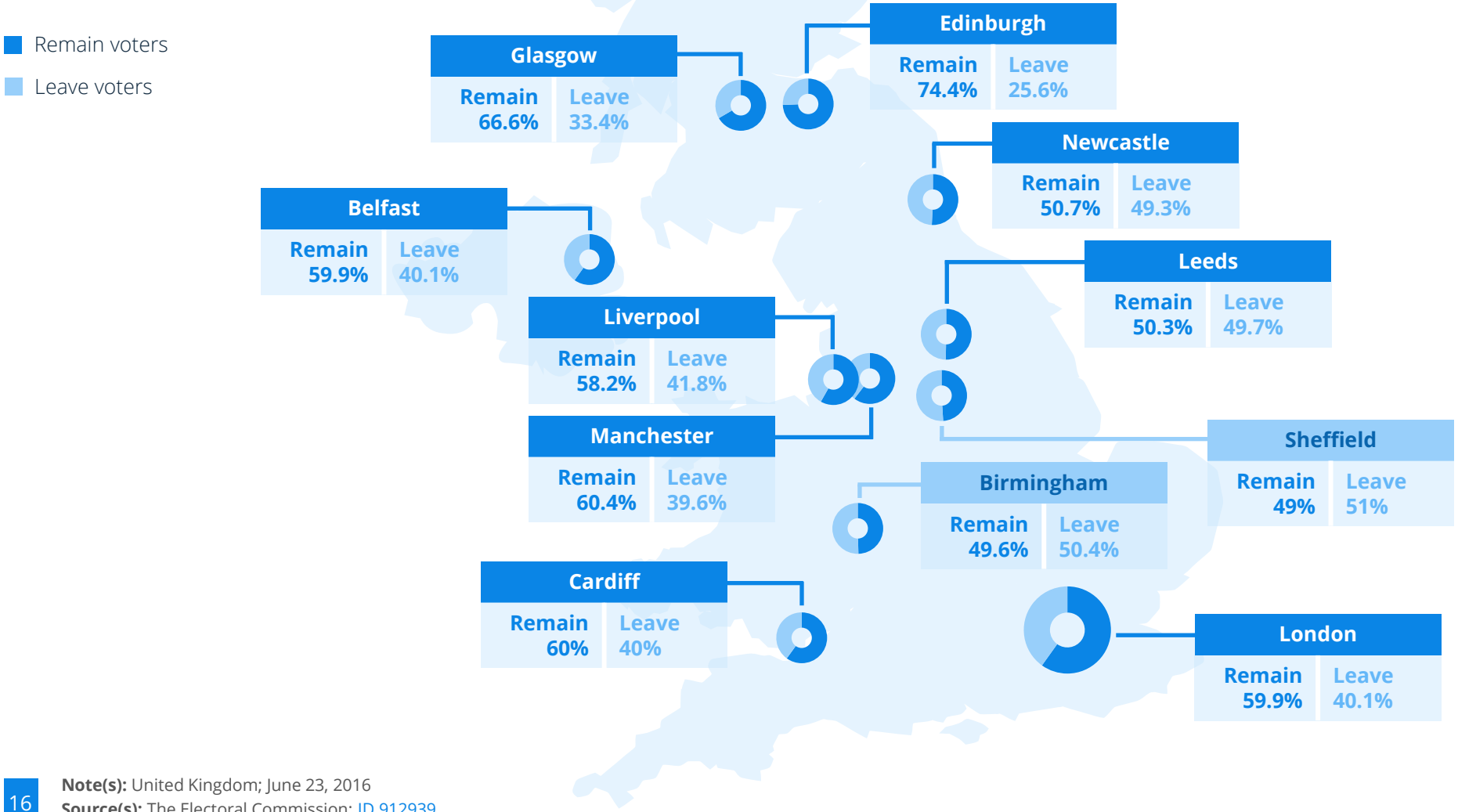




Note(s): United Kingdom; June 23, 2016
Source(s): The Electoral Commission; ID 570118 ID 568701 ID 642636 ID 912918 ID 912929

Brexit votes in major UK Cities

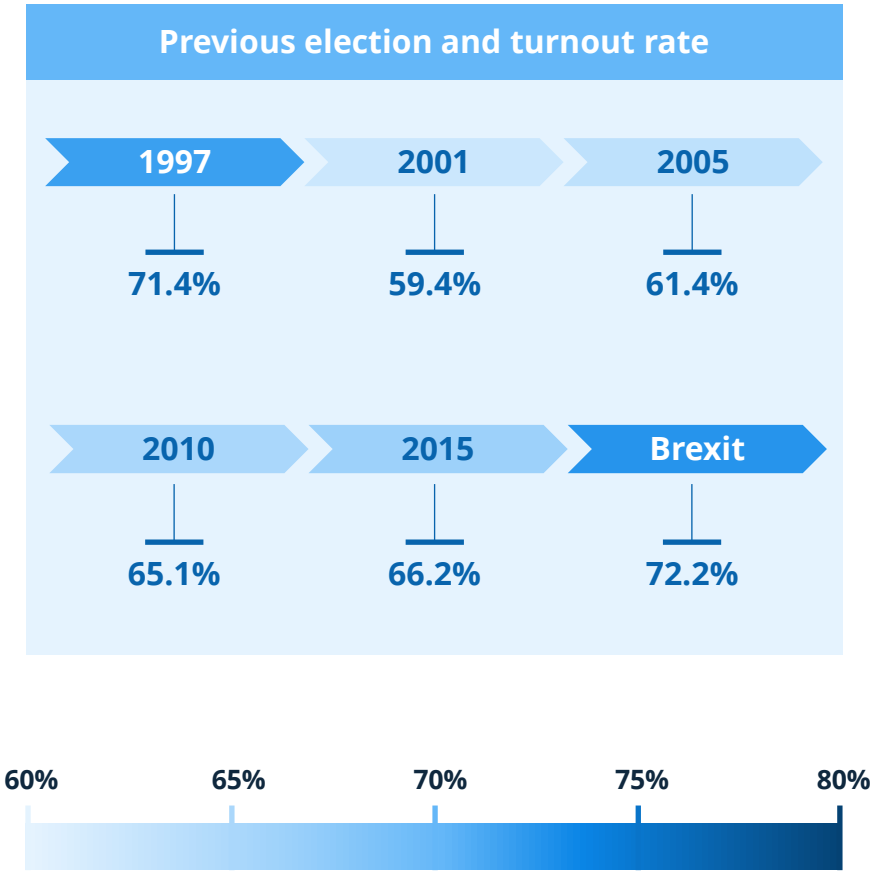
Brexit votes in selected major cities in the United Kingdom, June 23, 2016

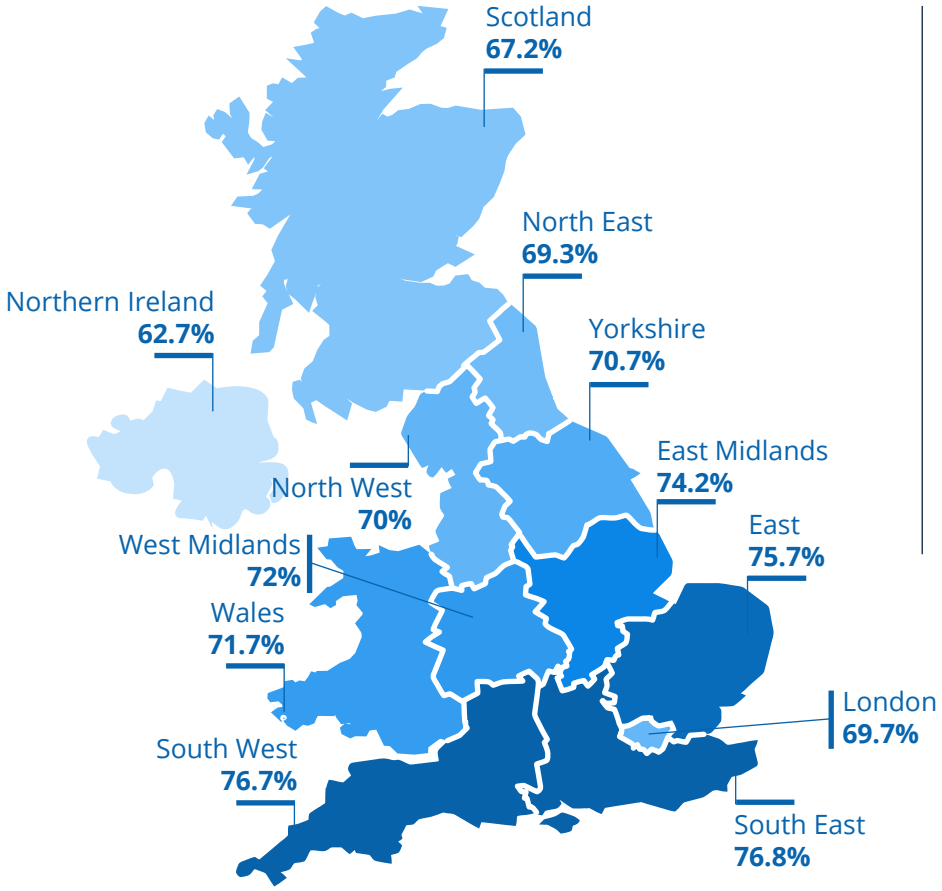


Note(s): United Kingdom; June 23, 2016
Source(s): The Electoral Commission; ID 912939

Highest voter turnout in over 20 years

Brexit referendum voter turnout by region





Overall, 72.2 percent of the eligible voting population turned out to cast their ballots in the Brexit referendum of 2016. This made it the highest voter turnout since the general election of 1992, when turnout was 77.7 percent. Turnout was highest in regional southern England and lowest in Scotland and Northern Ireland.

Note(s): United Kingdom; June 23, 2016
Source(s): BBC; House of Commons; The Electoral Commission; ID 1050929 ID 569440

03 Political fallout

- Election results
- Votes in parliament
- Opinion polls

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Political fallout

Political chaos followed the Brexit vote until late 2019

After David Cameron's resignation the day after the Brexit referendum, the most important issue quickly became who would succeed him as Prime Minister. Boris Johnson was the initial favorite, but it was ultimately Theresa May who inherited the position, along with the task of navigating the Brexit negotiations. May enjoyed popularity in her first months as Prime Minister (page 23) and felt secure enough to call a general election for June 8, 2017. Despite winning this election, the Conservatives had 13 fewer seats and could only govern with support from the DUP (page 20). May did continue as Prime Minister but in a much weaker position.

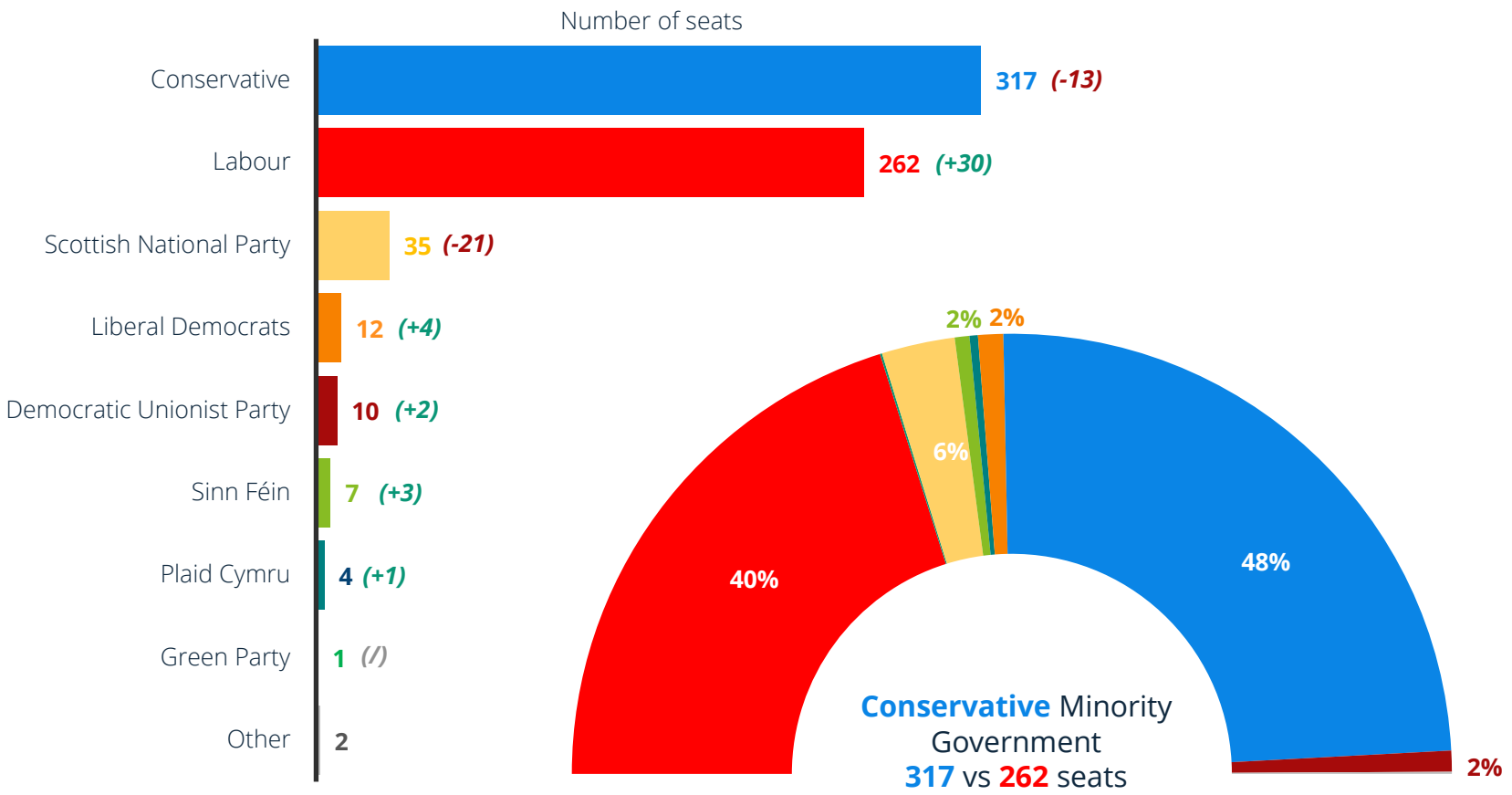
Negotiations between the UK and the EU also proved difficult during this time, and they only reached an agreement in late 2018. By this point, May had lost too much political capital for her deal to be supported in parliament. After three attempts to get her deal approved in early 2019 and a series of inconclusive votes on what type of Brexit parliament wanted, May requested an extension to Britain's departure date until October 31, 2019. Due to the delay, the United Kingdom had to participate in the European elections of May 2019, which saw the newly-formed Brexit party of Nigel Farage win the highest share of the vote. Shortly after this, May eventually decided to resign, leading to a Conservative Party leadership election and Boris Johnson's rise to power.

Johnson's first weeks saw him repeatedly clash with MPs and even the High Court, which ruled that he unlawfully suspended parliament in September 2019. However, this did little to affect his popularity or that of his party. Parliament eventually called another general election to be held on December 12, 2019, and unlike in 2017, the Conservatives won a clear majority. This result effectively ended the political drama of the previous three and a half years, and Johnson got his Brexit deal approved just before the end of 2019.

This chapter will provide an overview of the political turbulence that the UK experienced in the aftermath of Brexit, including opinion polls, election results, and an overview of the impasse that parliament found itself in when trying to decide what type of Brexit they wanted.

General election 2017 results

Number of seats won in the UK general election in 2017, by party

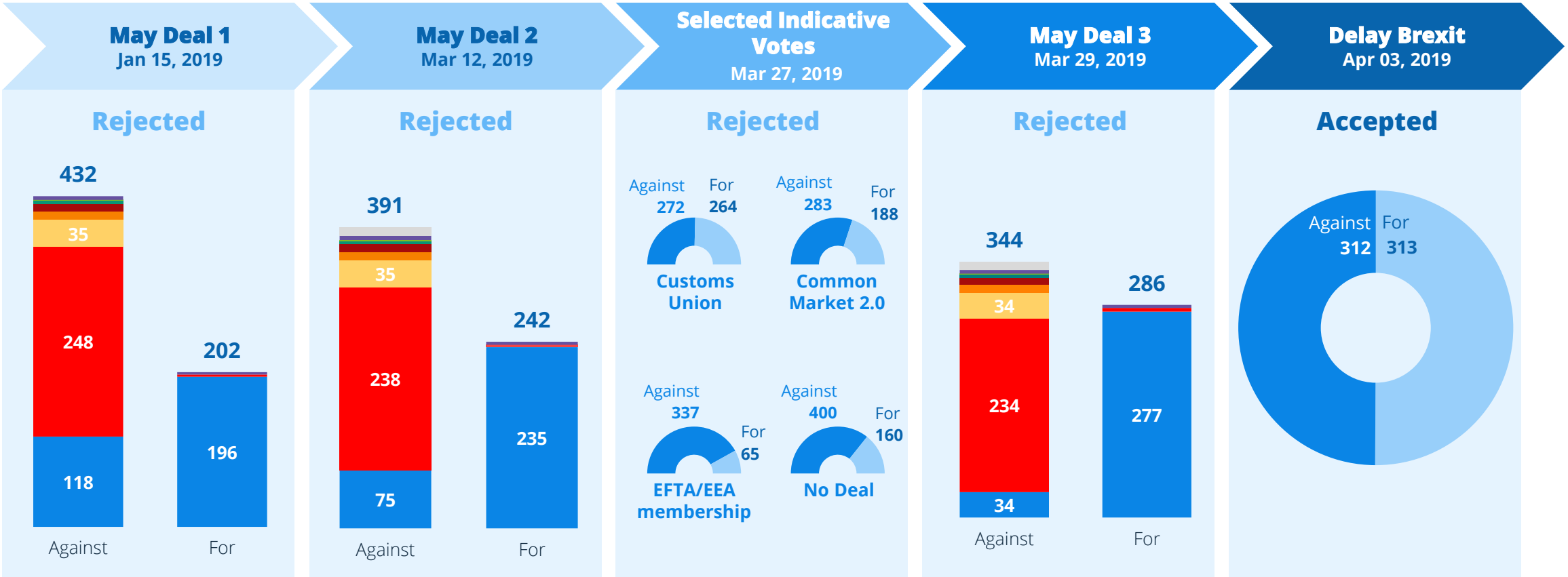


Although May and the Conservatives won the 2017 election, they lost the highest number of seats and arranged an informal alliance with Northern Ireland's DUP to govern. May continued as Prime Minister, albeit in a much weaker position to conduct the Brexit negotiations. While May was initially able to maintain party unity amidst tough negotiations, this finally began to crack after her "Chequers proposals" in July 2018, which led to the resignation of two of her cabinet ministers. The Brexit Secretary, David Davis, and the Foreign Secretary, Boris Johnson.

Note(s): United Kingdom; June 9, 2017
Source(s): Financial Times; ID 713480

Parliament incoherent on Brexit

Results of key Brexit votes in the House of Commons

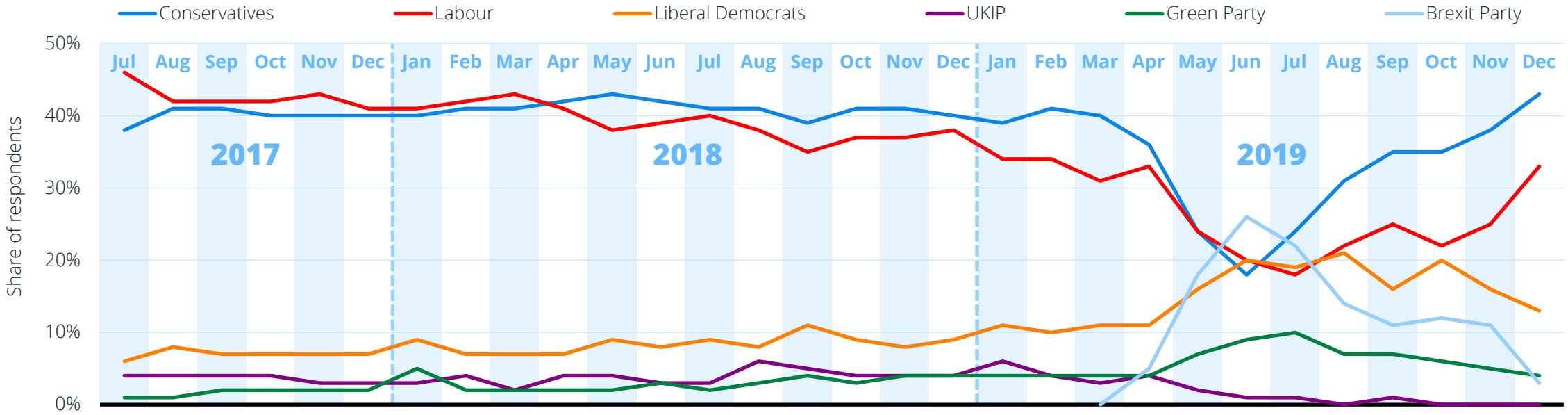


Note(s): United Kingdom; January 15, 2019, to April 3, 2019
Source(s): House of Commons; ID 983464

UK voting intentions

Voting intention in the United Kingdom from 2017 to 2019

By Spring 2019, Britain was in a political crisis, with the only course of action parliament could agree upon being a postponement of Brexit. As a result, the UK took part in the European elections of May 2019. At this point, a new party created by Nigel Farage, called the Brexit party, had appeared on the political landscape to become the highest polling party in the UK. May's position became untenable, with support collapsing for the UK's major political parties and the Brexit party winning the most seats in the European elections. She resigned as Prime Minister shortly after the European elections. Despite their rapid rise, the Brexit Party quickly fell off the political map after the European elections.

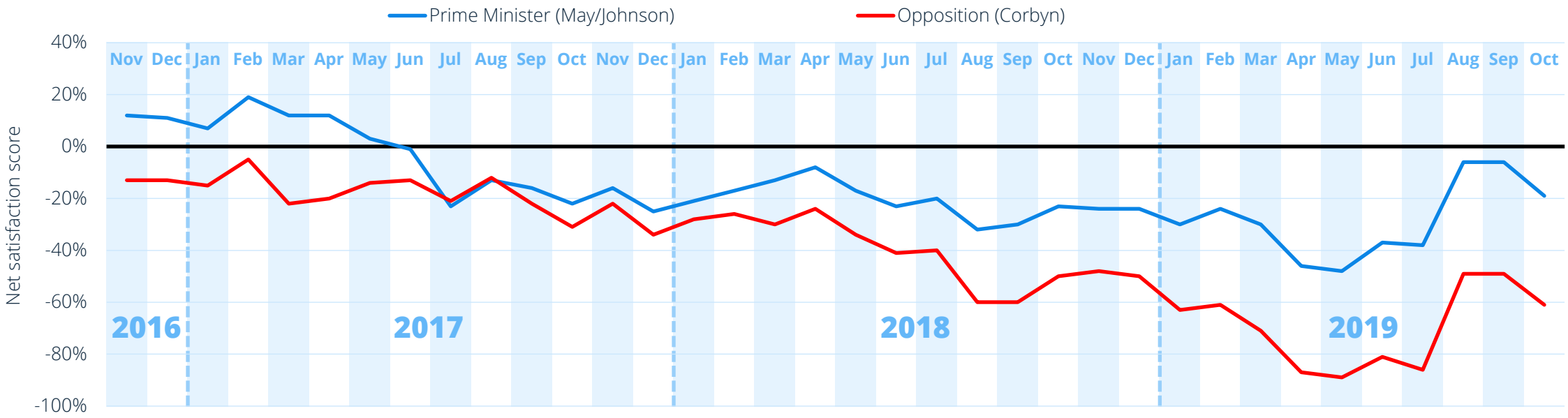


Note(s): United Kingdom (Great Britain); July 2017 to December 2019; 18 years and older
Source(s): BBC News; YouGov; ID 985764

Boris Johnson vs. Jeremy Corbyn

Net satisfaction scores for the Prime Minister and Opposition in the UK from 2016 to 2019

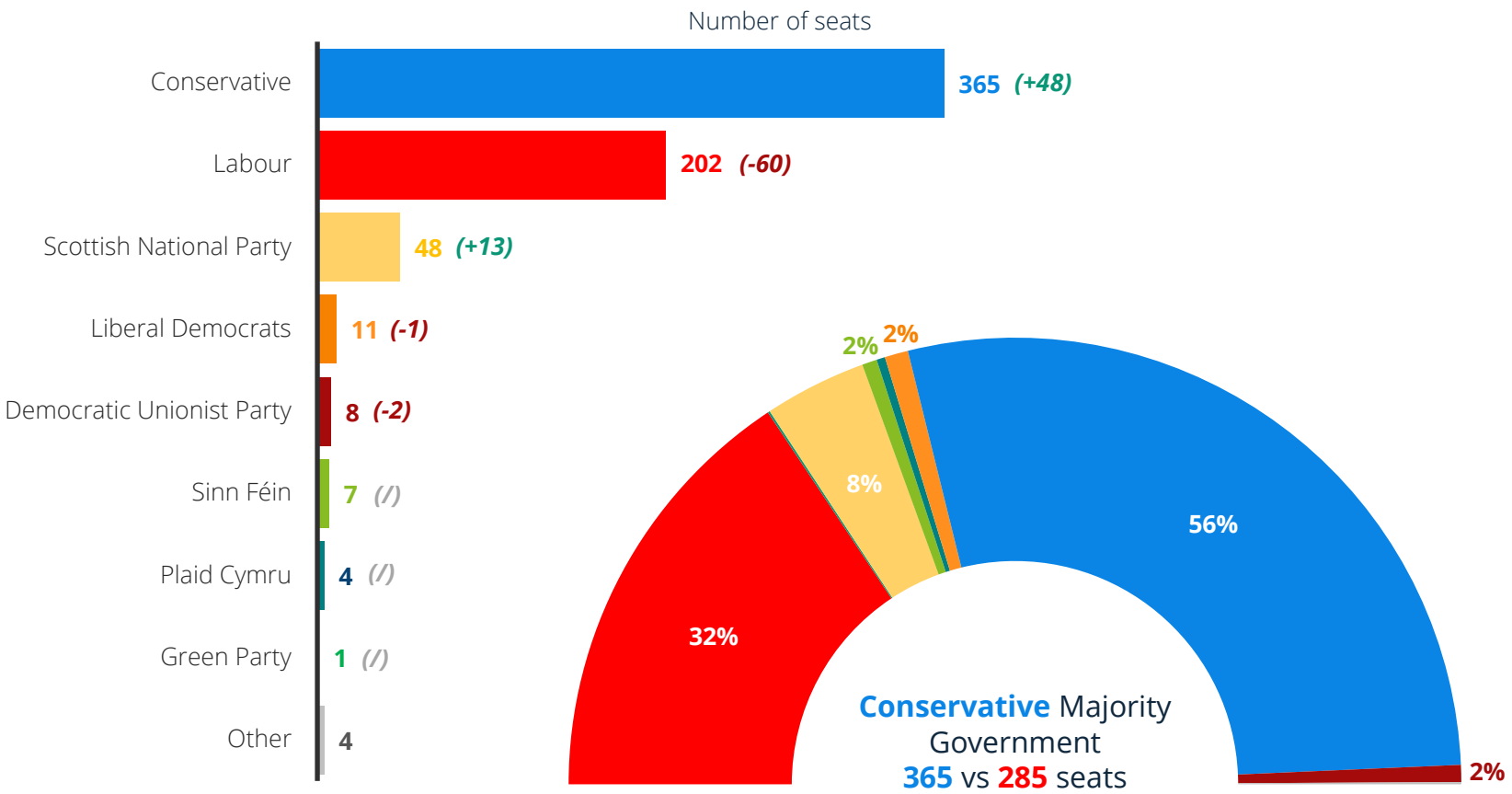
By winning the Conservative leadership election, Boris Johnson became Prime Minister in July 2019. Johnson's emergence resulted in a boost for the Conservative party in election polls. In terms of net satisfaction scores, Johnson was now seen as doing a better job as Prime Minister than Jeremy Corbyn was as Leader of the Opposition. As of September 2019, Johnson remained popular despite suspending parliament unlawfully and losing his inherited majority in parliament via defections. Nevertheless, like his predecessor, Johnson could not push his Brexit deal through parliament losing by 322 votes to 308, making him reluctantly extend Brexit until January 31, 2020.



Note(s): United Kingdom; November 2016 to October 2019; 18 years and older
Source(s): BBC News; BMG research; The Guardian; ID 911008

General election 2019 results

Number of seats won in the UK general election in 2019, by party



At the end of October 2019, parliament announced a winter election for December 12, 2019. The decision to hold the election received backing from both major political parties, expecting that it could break the Brexit deadlock. Although opinion polls did suggest that the Conservatives would win the election, the Labour party hoped they could close this gap as they did in 2017. However, Johnson and the Conservatives emerged from the election with a clear majority, while the Labour party suffered their worst defeat in decades.

Note(s): United Kingdom; December 12, 2019
Source(s): BBC; ID 1083275

04 The Brexit deal

- Citizens rights
- Trade issues
- Irish border

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The Brexit deal

UK and the EU begin a new relationship

In late 2019, Boris Johnson managed to get his withdrawal agreement through parliament, which brought one chapter of Brexit to a close - but opened another. Although the withdrawal agreement largely resolved issues such as citizens' rights and the Brexit divorce bill, the future trading relationship between the two entities was still to be determined. After the UK left the EU on January 31, 2020, the UK entered a transition period that lasted until December 31, 2020. During these eleven months, the UK and the EU had to agree on a far-reaching trade deal - an ambitious timeline given the range of issues that had to be addressed.

During the negotiations, it was found that many issues were difficult to settle due to the need to balance British sovereignty with market access. Although the UK wanted to trade freely with the single market, it also did not want the freedom of movement that came with being a member of the single market. A central argument for Brexit was that the share of Britain's trade with the single market was falling, just as emerging markets were becoming more critical. To fully take advantage of these opportunities, it was argued that the UK needed the ability to strike its own trade deals. This would not be possible if the UK remained a member of the single market. Negotiations were further complicated because the UK and EU had spent decades integrating their economies and building political settlements, such as the Good Friday Agreement, into the architecture of the single market. Therefore, avoiding a hard border between Northern Ireland and the Republic of Ireland would be an essential part of any deal.

Like the withdrawal agreement that preceded it, the trade deal reached between the two sides was concluded at a very late stage in negotiations. The EU-UK Trade and Cooperation Agreement (TCA) allowed for quota and tariff-free trade between the two entities. In terms of services, the agreement is less substantial and may need to be built upon in the future. The Irish border issue was only resolved by creating a de facto border in the Irish Sea, with British goods subject to checks when they reached Northern Ireland. A full breakdown of the most important concerns regarding the TCA agreement is provided in the following chapter.

Citizens' rights

Number of EU citizens living in the UK and British citizens in EU countries

Country	Living in UK	British living there
Poland	902,000	37,000
Romania	457,000	17,000
Ireland	322,000	293,000
Italy	297,000	66,000
Portugal	234,000	19,000
Lithuania	211,000	5,000
France	192,000	177,000
Spain	184,000	302,000
Germany	149,000	99,000
Bulgaria	109,000	10,000
Netherlands	104,000	55,000
Latvia	99,000	3,000
Hungary	88,000	11,000
Greece	74,000	17,000

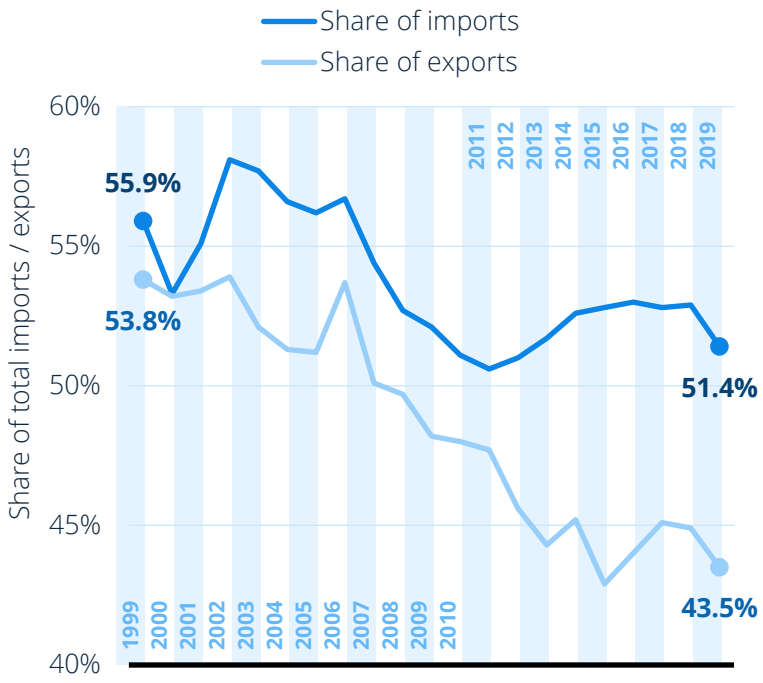
Country	Living in UK	British living there
Slovakia	69,000	7,000
Sweden	58,000	30,000
Czechia	42,000	5,000
Belgium	28,000	23,000
Denmark	22,000	22,000
Finland	20,000	8,000
Austria	14,000	13,000
Cyprus	14,000	38,000
Estonia	13,000	800
Croatia	8,600	600
Malta	8,300	23,000
Slovenia	5,000	600
Luxembourg	500	6,000
European Union	3.7 million	1.3 million

One of the major issues that arose from Brexit was the fate of the 3.7 million EU citizens in the UK, and the 1.3 million UK citizens living in the EU. Before Brexit, many had taken advantage of their freedom of movement rights to live, work, and study abroad. The Brexit vote, and especially the threat of a no-deal Brexit, suddenly left the status of many of these individuals in limbo. The issue was largely resolved with the ratification of the Withdrawal Agreement, which guaranteed rights of residency for UK citizens who were already in the EU, and for those that would move there during the transition period. For EU citizens in the UK, the Home Office launched a settlement scheme in early 2019.

Note(s): EU; 2019
Source(s): Office for National Statistics (UK); United Nations; 1061707; 1059795

EU – the UK's main trading partner

EU accounts for 51.4 percent of UK imports and 43.5 percent of exports



UK main import/export partners 2020

Market	% of imports
United States	13%
Germany	12.5%
Ireland	8.5%
Netherlands	8.3%
France	5.6%
China	5.3%
Switzerland	4%
Belgium	3.4%
Italy	3.1%
Spain	2.6%

Market	% of exports
Germany	14.9%
China	10.5%
United States	7.1%
Netherlands	6.5%
France	6.1%
Belgium	5.8%
Italy	3.9%
Spain	3.5%
Ireland	2.8%
Norway	2.6%

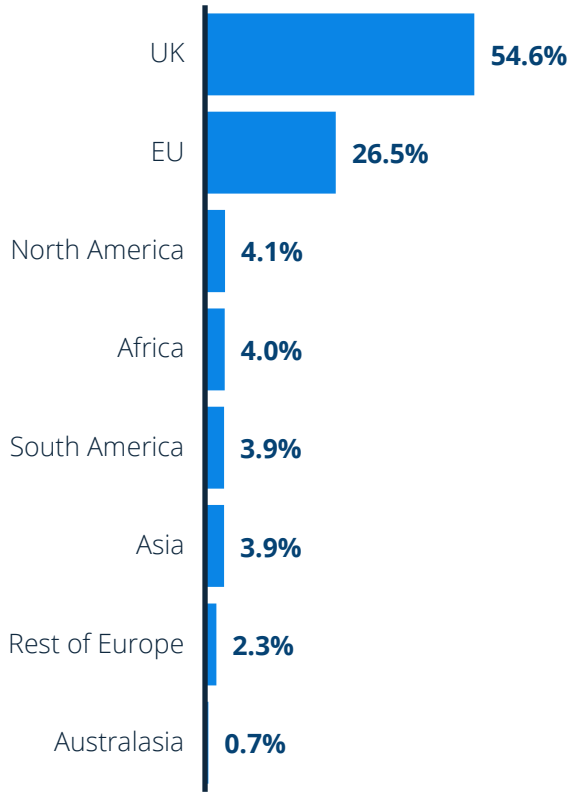
Although the EU is the UK's main trading partner, the share of trade with the EU has gradually fallen over time. In 1999, 55.9 percent of what the UK imported came from the EU, while the EU accounted for 53.8 percent of UK exports. By 2019, this had fallen to 51.4 percent for imports and 43.5 percent for exports. Despite the slight decline in UK/EU trade, it was clearly in the best interests of both the UK and the EU to strike a trade deal that minimized disruption. During the 11 months of trade negotiations, it was agreed upon that the EU-UK TCA would allow for tariff and quota-free trade of goods between the two entities. That does not mean trade will be frictionless, however, as additional customs checks have been introduced, especially regarding rules of origin.

Note(s): United Kingdom, EU; 1999 to 2019
Source(s): Office for National Statistics (UK); ID 551157; ID 551209; ID 284713; ID 284708

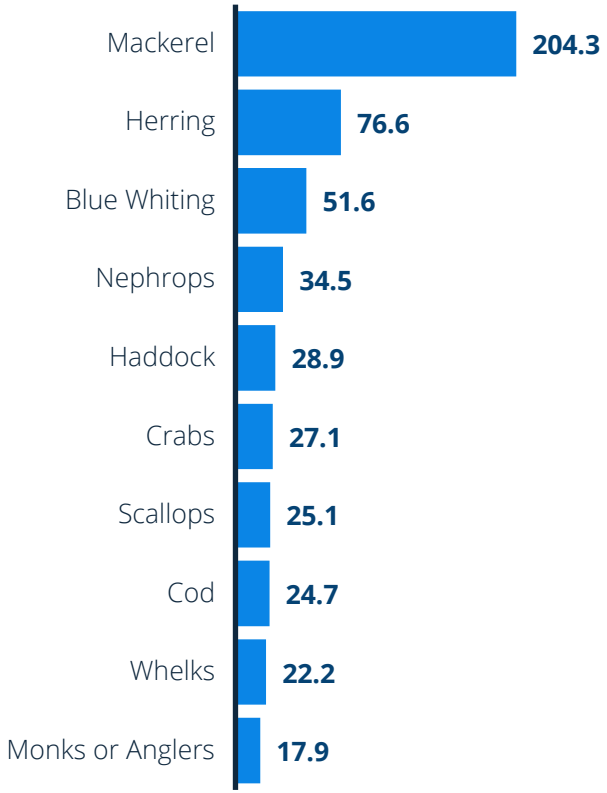
Agri-food trade with the EU

Fishing issues tangle up negotiations

Origin distribution of foods consumed in the UK



Type of fish caught by UK vessels in thousand tonnes



Over a quarter of the food consumed in the UK in 2019 came from the EU, underlining the importance of this type of trade. Despite the lack of quotas and tariffs, additional customs checks, especially on products that have short shelf lives, have caused significant supply-chain issues. Fishing rights have also proved a complex issue to resolve. Being able to control UK fishing waters was touted as being one of the main benefits of Brexit. The fact that much of the fish caught in UK waters is exported to the EU rather than consumed in the UK meant that a trade-off on this issue was necessary. Under the terms of the TCA, EU vessels can still access UK waters but on a more limited basis.

(1) Note(s): United Kingdom; 2019
Source(s): Defra; ID 282580

(2) Note(s): United Kingdom; 2019
Source(s): BBC News; Marine Management Organisation; ID 1125453

Northern Ireland

Preventing a hard border

To avoid breaking one of the key terms of the Good Friday Agreement, preventing a hard border between Northern Ireland and the Republic of Ireland was one of the main priorities for both sides during the Brexit negotiations. Where trade was once seamless between the two areas, there are now checks on goods that arrive from Great Britain into Northern Ireland. This effectively creates a border in the Irish Sea but avoids creating a hard border between Northern Ireland and the Republic of Ireland. Due to this, Northern Ireland is currently following many EU customs regulations. The issue is likely not fully resolved, and trade frictions have continued to manifest through 2021 and into 2022.

Source(s): BBC

Other issues

What the deal covers

Travel
For UK citizens visiting the EU, a visa is only required if the visit is longer than 90 days in a 180-day period. EU/EEA and Swiss citizens going to the UK do not require a visa for typically around 6 months.

Education
The UK is no longer a member of the Erasmus Exchange Programme, making it harder for UK students to study in the EU. This was replaced by the Turning Scheme, which focuses on countries outside of Europe.

Qualifications
The automatic recognition of professional qualifications, such as for doctors or nurses, no longer applies. UK workers in the EU, and EU workers in the UK must now meet the 'host-country' requirements to practice. The end of automatic recognition may involve additional training or further study for workers.

Level playing field
To prevent the UK or EU gaining an unfair advantage with diverging business environments, the two sides agreed to a set of common standards in fields such as worker rights, state aid, and environmental standards.

European Courts
The European Court of Justice has no role in UK law, except for an oversight role when it comes to trade in Northern Ireland.

Security
The UK is no longer a full member of Europol and Eurojust. Cross-border law enforcement operations are allowed, but the UK is not a part of the European Arrest Warrant System.

Science
The UK will continue to participate in key European science programs such as Horizon, Euratom, and Copernicus.

Brexit divorce bill
The UK will pay the EU 34 billion GBP in several installments between 2020 and 2064. The initial installments will be far larger than the ones in the future.

Source(s): BBC; The Guardian; House of Commons

05 Post-Brexit Britain

- Fall in trade
- Labor shortages
- Global supply chain issues

statista

Post-Brexit Britain

Adjusting to a new reality

The end of the transition period on December 31, 2020 marked a more definite break with the European Union than the official Brexit date eleven months earlier. The UK is now outside of virtually every European institution, with the relationship wholly defined by the EU-UK trade and cooperation agreement (TCA). Although the new arrangement avoided introducing tariffs and quotas between the EU and UK, there was still a record fall in trade in January 2021. The fact that trade has recovered somewhat throughout the year suggests that this could have been a temporary issue (see page 34). Additionally, this was likely exacerbated by the fact that the TCA was only signed a week before it was brought into force, giving businesses little time to get to up to speed with new customs rules. Nevertheless, UK goods trade with the EU has not yet recovered to pre-pandemic levels.

The overall economic picture for the UK in 2021 was also heavily influenced by the COVID-19 pandemic. GDP did not recover to its pre-pandemic size until November 2021 (see page 35). The specter of mass unemployment, mitigated by putting millions onto furlough schemes, has not manifested. Instead, the UK has found itself in a labor shortage crisis, especially in industries such as transport and agriculture, which had many seasonal EU workers. Companies have offered more attractive starting salaries to attract British workers to these industries, driving some of the record wage growth seen in 2021 (see page 37). The current government hopes this will lead to a permanent adjustment of the UK economy that invests more heavily in British workers and infrastructure, instead of relying on freedom of movement to attract qualified EU workers.

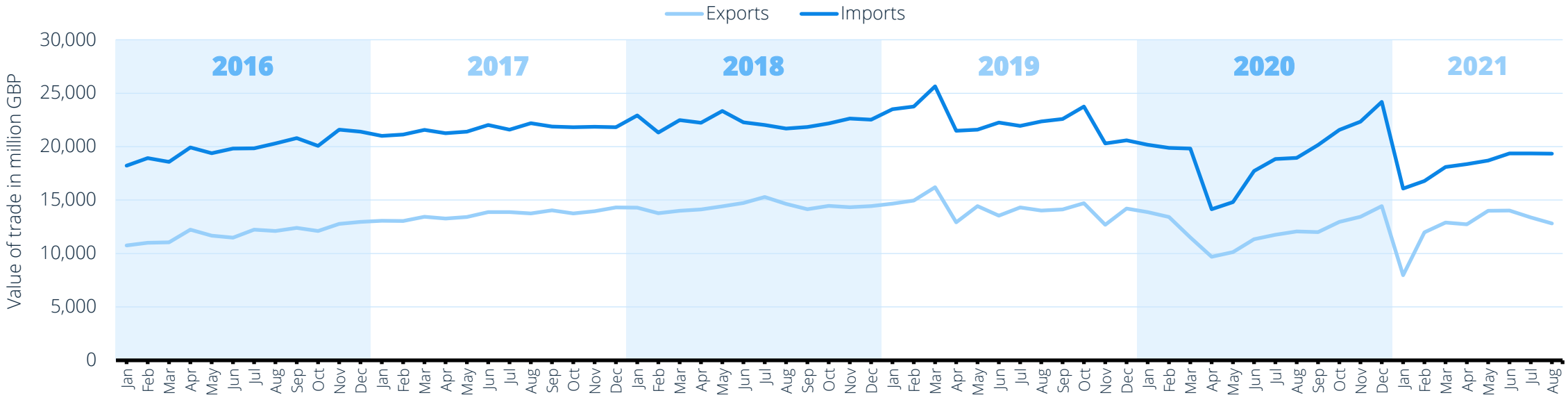
In the short term, this period of adjustment is at the mercy of the global economy. The global supply chain crisis has hampered the rush to reopen the world economy in the wake of COVID-19. Although not unique to the UK, it is likely that a lack of HGV drivers from the EU, along with increased trade frictions, has made this situation worse.

Source(s): Reuters

Record fall in UK trade in January 2021

Value of UK-EU trade in goods from 2016 to 2021

The provisional application of the TCA agreement at the start of 2021 coincided with a sudden fall in UK/EU trade. In January 2021, the value of goods exported to the European Union fell from 14.4 billion British pounds to 7.9 billion British pounds, while the value of imports fell from 24.7 billion to 16 billion. This sudden drop in trade could have been due to the application of the TCA agreement, or it could also have been partly attributable to companies stockpiling goods through November and December, having anticipated problems in January. In any case, despite the temporary drop, since January 2021 the monthly value of UK/EU trade in goods has been back on the increase, although not to pre-pandemic or late 2020 levels.



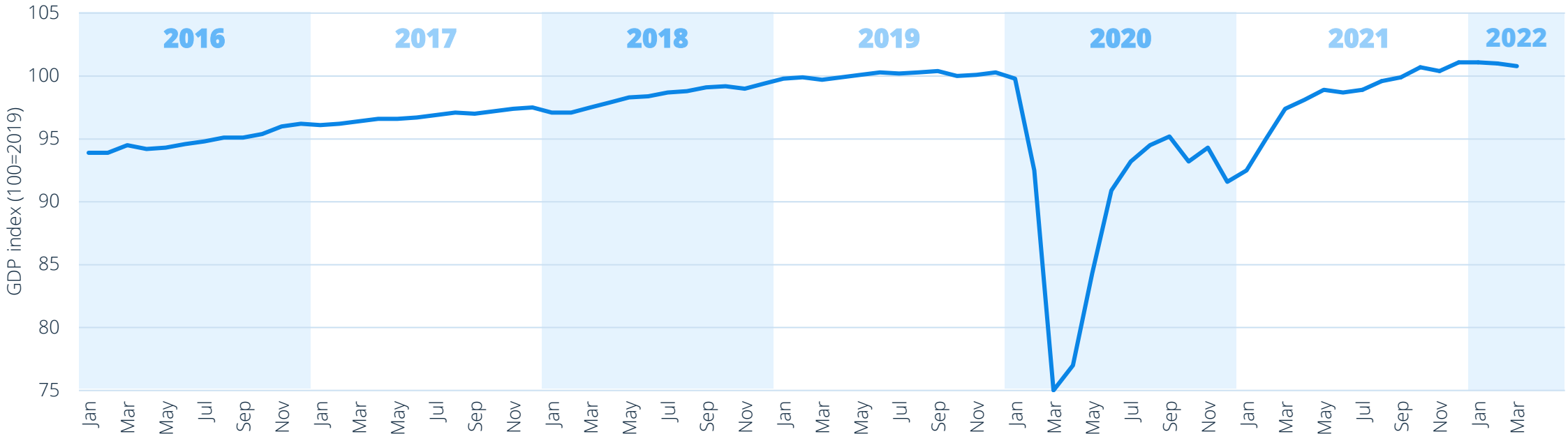
Note(s): United Kingdom; January 2016 to August 2021
Source(s): Office for National Statistics (UK); ID 284750

UK GDP

Monthly GDP of the UK from January 2016 to March 2022

The huge fall in GDP experienced in April 2020 was followed by a rapid u-shaped recovery before growth slowed down in the winter. While there was a return to growth in 2021 and signs of a recovery, it was not until November 2021 that the economy reached its pre-pandemic size.

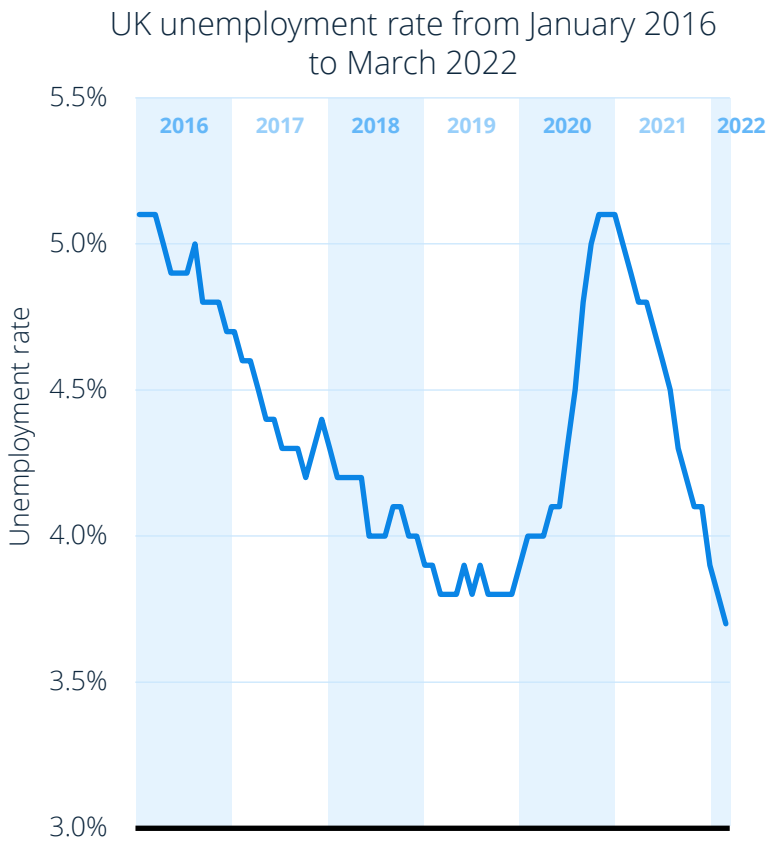
In the long term, the Office for Budget Responsibility (OBR) has forecast that the pandemic will reduce UK GDP by two percent, but that Brexit will reduce UK GDP by four percent.

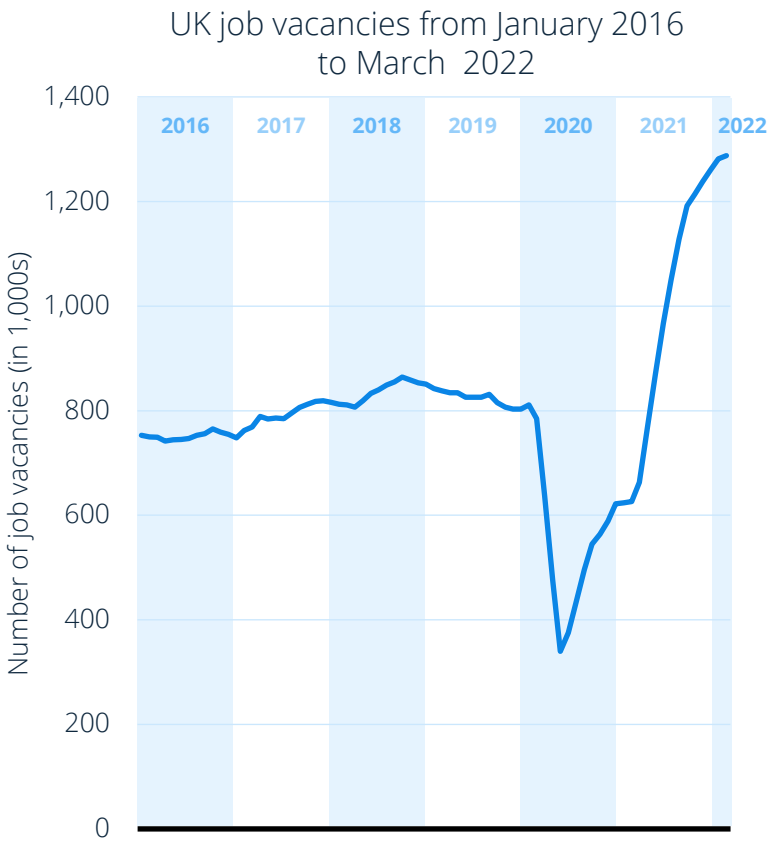


Note(s): United Kingdom; January 2010 to March 2022
Source(s): BBC News; Office for Budget Responsibility; Office for National Statistics (UK); ID 1175538

Labor shortages

Record number of job vacancies in early 2022





Although it was feared that the pandemic, along with the impact of Brexit, could lead to a rise in unemployment, the opposite has been the case. Throughout 2021, unemployment fell, while the demand for labor increased. Job vacancies grew to a record high of 1.28 million by March 2022.

The rapid reopening of the economy and the departure of many EU workers are some of the leading causes of this shortage. A lack of skills among UK workers is an additional reason the current government believes this issue can be addressed through greater business investment in UK workers.

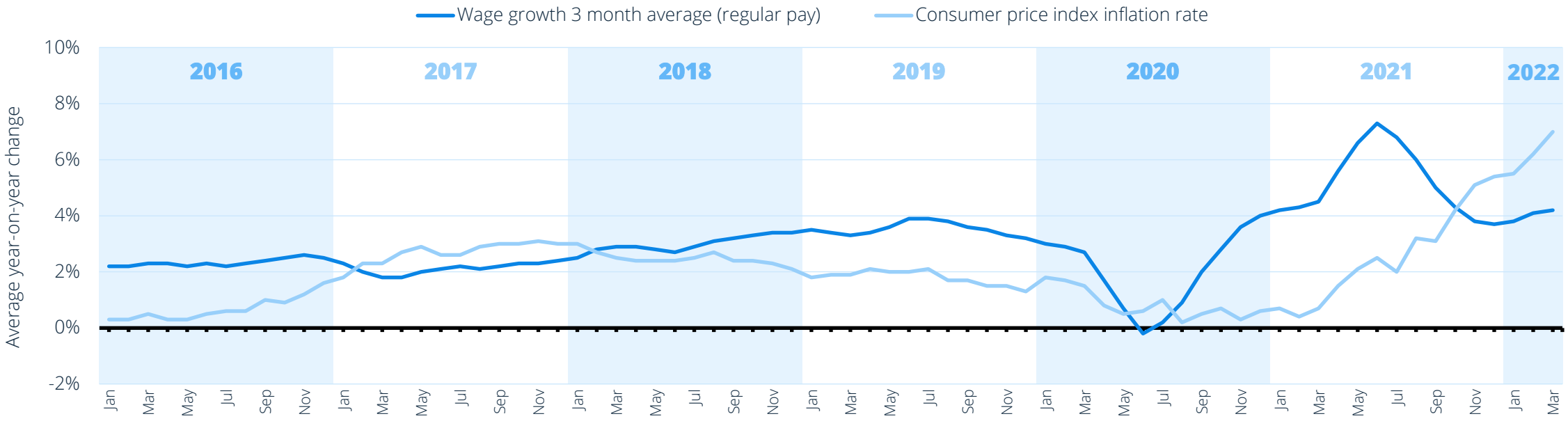
(1) Note(s): United Kingdom; January 2016 to March 2022; 16 years and older
Source(s): Office for National Statistics (UK); ID 279898

(2) Note(s): United Kingdom; January 2016 March 2022
Source(s): The Guardian; Office for National Statistics (UK); ID 283771

“A high-skill, high-wage economy”

Average weekly earning growth in the UK compared with inflation from 2001 to 2022

In his speech to the Conservative party conference in October 2021, Boris Johnson announced his vision for the UK to have a “high-skill, high-wage economy.” The recent labor shortages caused by a lack of EU workers were framed as a step in this direction, resulting in wage growth in crucial jobs. However, much of this growth was caused by the rebounding of wage levels from a low 2020 baseline and is likely to be a temporary anomaly. Furthermore, annual inflation is expected to be 7.4 percent in 2022, with average earnings anticipated to grow by 6.6 percent, resulting in prices rising faster than wages.

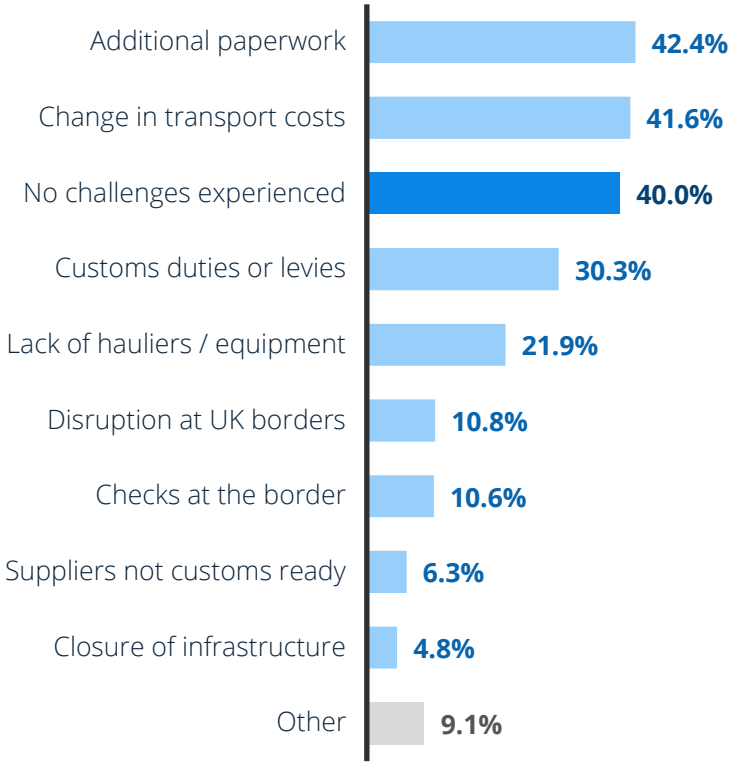


Note(s): United Kingdom; January 2016 to March 2022
Source(s): Office for Budget Responsibility; Office for National Statistics (UK); ID 1272447

Supply chain issues

Recent supply chain issues in Great Britain

Challenges faced by UK importers 2021



Compared with 2020, the number of HGV drivers in 2021 has fallen by 29,000 (16,000 of which were from the EU).

In Great Britain, 17 percent of people reported a shortage of essential food items, with 23 percent reporting a shortage in non-essential food items.

Fuel shortages were experienced by 15 percent of people, while a further three percent were unable to buy medicine.

Although not limited to the UK, the global supply chain crisis has been exacerbated by the UK's adjustment to a post-Brexit economy.

Around 60 percent of UK businesses have faced import challenges in 2021, with additional paperwork as a direct result of Brexit being cited as the most common problem. Since Brexit, there are also 16,000 fewer HGV drivers from EU countries working in the UK, damaging a crucial link in the supply chain. These issues have directly affected UK consumers, with 17 percent of people unable to buy essential food items, and a further 15 percent experiencing fuel shortages.

Note(s): United Kingdom; 2021
Source(s): Office for National Statistics (UK); ID 1224862; ID 1267459; ID 1268805; Chart 25943

Brexit: Not going away

Global Britain and the future of the TCA

The five years between the Brexit referendum in 2016 and the economic upheavals of 2021 have been some of the most eventful in modern British history. Between 2016 and 2019 the UK lurched from one political crisis to another, until the general election in late 2019 finally broke the stalemate. At the start of 2020, the coronavirus pandemic then arrived in the UK, which meant the issue of Brexit faded into the background for much of that year. Towards the end of 2020, however, the deadline for achieving a trade deal was almost missed, bringing Brexit back into the news cycle.

The success or failure of Brexit will ultimately depend on factors that will play out over the long term. A central argument for Britain leaving the European Union was that the share of Britain's trade with the single market was falling, just as emerging markets were becoming more important. In order to fully take advantage of these opportunities, it was argued, the UK needed the ability to strike its own trade deals. The success of this strategy hinges on the ability of the UK to quickly strike trade deals with major non-EU trade partners, such as the United States, and for a major scaling-up of its trade with countries in Asia and Africa.

As much as the UK may want to pursue this "Global Britain" strategy, its relationship with the European Union will also be important. The current trade agreement may prove to be a good starting point, but its long-term future is already under threat. At the end of 2021, the UK was already signaling that it might invoke Article 16 of the Northern Ireland protocol in the future, with additional tensions also ongoing with France regarding fishing rights. Brexit is still a key concern, and every political decision, economic problem, and social issue will likely continue to be viewed through the lens of Brexit for some time to come.

Glossary

Brexit Party
Right-wing populist party (renamed Reform UK in 2021). The party was created in November 2018 as a single-issue party that supported a no-deal Brexit.

Chequers Proposals
A plan from Theresa May's government on how to proceed with Brexit. The proposals were agreed upon at a UK cabinet meeting at the Prime Minister's residence of Chequers in July 2018.

Conservative Party (CON)
One of the UK's two major political parties, and the party of the last three Prime Ministers, David Cameron, Theresa May, and Boris Johnson. Center-right to right on the political spectrum.

Customs Union
An area that applies the same external tariffs to outside goods but has no internal tariffs between members.

European Free Trade Association (EFTA)
Intergovernmental organization that encourages economic cooperation between European states that are not in the EU. All four current members are part of the European Single Market (Iceland, Liechtenstein, Norway, and Switzerland).

European Economic Community (EEC)
The forerunner of the European Union that existed between 1957 and 1993, and the organization that the UK initially joined in 1973.

European Single Market
A common market for goods and services that also allows for the free movement of people and capital. Includes all 27 EU member states and four members of the EFTA.

EU-UK trade and cooperation agreement (TCA)
The trade agreement reached between the UK and EU, which came into force in 2021.

Global Britain
Term used by the UK government to describe its approach to foreign policy after Brexit. Intended to convey the idea that the UK's focus will be international rather than limited to Europe.

Good Friday Agreement
A series of agreements between the UK and the Republic of Ireland that is credited with ending the decades-long 'Troubles' in Northern Ireland.

Hard Border
In the context of Brexit, a hard border refers to the creation of border controls, such as guard posts and police on the UK/Irish border.

Glossary

Irish Border
The UK's only land border, between Northern Ireland and the Republic of Ireland. A common travel area exists between the two countries.

Labour Party (LAB)
One of the UK's two major political parties, which was led by Jeremy Corbyn for most of the Brexit period. He was succeeded by Keir Starmer in 2020. Center-left to left on the political spectrum.

Liberal Democrats (LIB)
Liberal UK political party that has historically been the third largest after the Conservatives and Labour. The party is also more pro-European than the UK's two major parties.

No-deal Brexit
The scenario where the UK leaves the European Union with no political or economical agreements in place.

Rules of Origin
A bureaucratic process that determines where a product and its individual components have originally come from, and what tariffs to apply when they enter the customs union.

Scottish National Party (SNP)
Scottish Nationalist party that advocates for Scottish independence from the United Kingdom. The party has a policy of Scotland re-joining the EU should it achieve its goal of separation from the UK.

Settlement Scheme
The UK scheme whereby EU and EFTA citizens who were living in the UK prior to 2021 could apply for permanent or temporary residency in the country.

Social Grades
A system in the United Kingdom that classifies people into one of six economic social classes (A, B, C1, C2, D, E) based on their occupation.

Supply Chain Crisis
A global supply chain crisis caused by the COVID-19 pandemic. Economic restrictions and staffing shortages led to reduced production from manufacturers and bottlenecks at key ports. Ongoing as of 2022.

UKIP
The United Kingdom Independence Party (UKIP) is a Eurosceptic political party established in 1993 with the goal of exiting the UK from the EU. UKIP's most successful period was in the elections prior to Brexit.

Withdrawal Agreement
Treaty between the UK and EU which laid out the terms by which the UK would leave the EU and set the stage for trade negotiations.

Recommendations

Dossiers

Businesses in Europe

Business enterprises in the UK

Coronavirus: impact on the UK economy

Earnings and wages in the UK

Economy of the UK

Employment in Europe

Employment in the UK

European economy

Inflation in Europe

Inflation in the UK

Politics in the UK

Unemployment in the UK

DossierPlus

B2C insurtech UK

Brexit: EU Citizens' opinion in the UK

Gen Z and the internet in the UK

Impact of Brexit on the art market in the UK and EU

Inequality in the UK

Industrial and logistic real estate in the UK

UK-EU Trade

Populism

Sources

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Lord Ashcroft Polls
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NatCen
Office for Budget Responsibility
Office for National Statistics (UK)
ParlGov
Reuters
The Electoral Commission
The Guardian
United Nations
YouGov

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